An Introduction to the Foundations of Financial Management

Financial management is the business function that deals with investing the available financial resources in a way that greater business success and return-on-investment (ROI) is achieved. Financial management professionals plan, organize and control all transactions in a business.

Fundamentals of Financial Management

Financial Management is the backbone of every business whether small or vast. The success or failure of a business depends upon the management of finances. However, the term 'Financial Management' is not limited to the procurement or allocation of money. It includes planning, organizing, controlling and directing the various activities related to finance.

Elements of Financial Management

Different elements play pivotal roles in the functioning of any management. Let's have a brief look at the basic elements of financial management which affects its core functioning.

1. **Investment Decisions**: Investment decision is the primary element of financial management. It involves decisions related to investment in current and fixed assets. It is also termed as working capital decisions and capital budgeting.
2. **Dividend Decisions**: Proper distribution of profits among the shareholders and the management of the company is essential. The decisions regarding the profit division are taken by the finance manager. Usually, the dividend rate is decided for the shareholders and some profits are retained in the company for its growth.
3. **Financial Decisions**: There are various circumstances under which a company would require raising of finance either from internal or external factors. Thus, the finance manager has to come up with the different decisions for raising finances depending upon the source, cost or the period of financing.

Functions of Financial Management

1. **Choice of sources of funds**: There are various choices for a company when it comes to raising funds. It can either be through shares & debentures and loan from public deposits or different financial institutions.

The financial manager has to choose wisely while selecting the source of funds. He should give preference to internal sources.

2. **Management of cash**: Cash management is very essential as it ensures constant working capital in the company. Various miscellaneous payments, remunerations, current liabilities, etc should usually be paid in cash by the finance manager.
3. **Disposal of Surplus**: The profit earned by the company needs to be divided among the shareholders in the form of a dividend on their shares. Thus, the finance manager declares the dividend rate and after distributing the profits, the remaining part is retained by the company which is utilized for its expansion.

Major Forms of Business Organizations (With Examples)

The five forms of business organizations include the following:

- Partnership
- Corporation
- Sole proprietorship
- Cooperative
- Limited liability Company

Partnership:

You can classify a business partnership as either general or limited. General partnerships allow both partners to invest in a business with
100% responsibility for any business debts. They don't require a formal agreement. In comparison, limited partnerships require owners to file paperwork with the state and compose formal agreements that describe all of the important details of the partnership, such as who is responsible for certain debts.
Some advantages of partnerships include:

Easy to establish: Compared to other business structures, partnerships require minimal paperwork and legal documents to establish.

Partners can combine expertise: With more than one like-minded individual, there are more opportunities to increase their collaborative skillset.

Distributed workload: People in partnerships commonly share responsibilities so that one person doesn't have to do all the work.

Disadvantages to consider:

Possibility for disagreements: By having more than one person involved in business decisions, partners may disagree on some aspects of the operation.

Difficulty in transferring ownership: Without a formal agreement that explicitly states processes, a business may come to a halt if partners disagree and choose to end their partnership.

Full liability: In a partnership, all members are personally liable for business-related debts and may be pursued in a lawsuit.

An example of a partnership is a business set up between two or more family members, friends or colleagues in an industry that supports their skill sets. The partners of a business typically divide the profits among themselves.

Corporation:

A corporation is a business organization that acts as a unique and separate entity from its shareholders. A corporation pays its own taxes before distributing profits or dividends to shareholders. There are three main forms of corporations: a C corporation, an S corporation and an LLC, or limited liability corporation.

Advantages of corporations include:

Owners aren't responsible for business debts: In general, the shareholders of a corporation are not liable for its debts. Instead, shareholders risk their equity.

Tax exemptions: Corporations can deduct expenses related to company benefits, including health insurance premiums, wages, taxes, travel, equipment and more.

Quick capital through stocks: To raise additional funds for the business, shareholders may sell shares in the corporation.

Disadvantages include:

Double taxation for C-corporations: The Corporation must pay income tax at the corporate rate before profits transfer to the shareholders, who must then pay taxes on an individual level.

Annual record-keeping requirements: With the exception of an S-corporation, the corporate business structure involves a substantial amount of paperwork.

Owners are less involved than managers: When there are several investors with no clear majority interest, the management team may direct business operations rather than the owners.

Common examples of corporations include a business organization that possesses a board of directors and a large company that employs hundreds of people. About half of all corporations have at least 500 employees.

Sole proprietorship

This popular form of business structure is the easiest to set up. Sole proprietorships have one owner who makes all of the business decisions, and there is no distinction between the business and the owner.

Advantages of a sole proprietorship include:

Total control of the business: As the sole owner of your business, you have full control of business decisions and spending habits.

No public disclosure required: Sole proprietorships are not required to file annual reports or other financial statements with the state or federal government.

Easy tax reporting: Owners don't need to file any special tax forms with the IRS other than the Schedule C (Profit or Loss from Business) form.

Low start-up costs: While you may need to register your business and obtain a business occupancy permit in some places, the costs of maintaining a sole proprietorship are much less than other business structures.

Disadvantages include:

Unlimited liability: You are personally responsible for all business debts and company actions under this business structure.

Lack of structure: Since you are not required to keep financial statements, there is a risk of becoming too relaxed when managing your money.

Difficulty in raising funds: Investors typically favor corporations when lending money because they know that those businesses have strong financial records and other forms of security.

Some typical examples of sole proprietorships include the personal businesses of freelancers, artists, consultants and other self-employed business owners who operate on a solo basis.

Cooperative:

A cooperative, or a co-op, is a private business, organization or farm that a group of individuals owns and runs to meet a common goal. These owners work together to operate the business, and they share the profits and other benefits. Most of the time, the members or part-owners of the cooperative also work for the business and use its services.

Advantages of a cooperative include:

Greater funding options: Cooperatives have access to government-sponsored grant programs, like the USDA Rural Development program, depending on the type of cooperative.

Democratic structure: Members of a cooperative follow the "one member, one vote" philosophy, meaning that everyone has a say, regardless of their investment in the co-op.

Less disruption: Cooperatives allow members to join and leave the business without disrupting its structure or dissolving it.

Disadvantages include:

Raising capital: Larger investors may choose to invest in other business structures that allow them to earn a larger share, as the cooperative structure treats all investors the same, both large and small.

Lack of accountability: Cooperatives are more relaxed in terms of structure, so members who don't fully participate or contribute to the business leave others at a disadvantage and risk turning other members away.

Many cooperatives exist in the retail, service, production and housing industries. Examples of businesses operating as cooperatives include credit unions, utility cooperatives, housing cooperatives and retail stores that sell food and agricultural products.

Limited liability Company

The most common form of business structure for small businesses is a limited liability company, or LLC, which is defined as a separate legal entity and may have an unlimited amount of owners. They are typically taxed as a sole proprietorship and require insurance in case of lawsuit. This form of business is a hybrid of other forms because it has some characteristics of a corporation as well as a partnership, so its structure is more flexible.

Some advantages of an LLC include:

Limited liability: As the name states, owners and managers have limited personal liability for business debts, whereas individuals assume full responsibility in a sole proprietorship or partnership.

Pass-through taxation: Owners of LLCs may take advantage of "pass-through" taxation, which allows them to avoid LLC and corporation taxes, and owners pay personal taxes on business profits.

Flexible management: LLCs lack a formal business structure, meaning that their owners are free to make choices regarding the operation of their businesses.

Disadvantages include:

Associated costs: The start-up costs associated with an LLC are more expensive than setting up a sole proprietorship or partnership, and there are annual fees involved as well.

Separate records: Owners of LLCs must take care to keep their personal and business expenses separate, including any company records, whereas sole proprietorships are less formal.
Taxes: In regards to unemployment compensation, owners may have to pay it themselves.
Common examples of limited liability companies include start-ups and other small businesses. Family-owned businesses and companies with a small number of members may operate as an LLC because it is a flexible business model that allows members to be active or passive in their roles.

Role of Finance in the Organization

Financial managers have a complex and challenging job. They analyze financial data prepared by accountants, monitor the firm's financial status, and prepare and implement financial plans. One day they may be developing a better way to automate cash collections, and the next they may be analyzing a proposed acquisition. The key activities of the financial manager are:

- Financial planning: Preparing the financial plan, which projects revenues, expenditures, and financing needs over a given period.
- Investment (spending money): Investing the firm's funds in projects and securities that provide high returns in relation to their risks.
- Financing (raising money): Obtaining funding for the firm's operations and investments and seeking the best balance between debt (borrowed funds) and equity (funds raised through the sale of ownership in the business).